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## A-Level

# Economics

Paper 3 Economic principles and issues  
Final Mark scheme

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7136/3  
Predicted Paper — Set A

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Version 1.0

## About this mark scheme

Mark schemes of this kind are working documents. They are designed to reflect the range of candidate responses actually seen, and to guide examiners in applying marks consistently across a cohort. Where additional creditworthy responses arise that are not explicitly listed here, the principles set out in the level descriptors should be applied in their spirit.

For Section A, the correct response is listed for each question. For Section B, indicative content is provided as a guide only; it is not exhaustive, and candidates are not expected to cover every listed point to reach the highest level.

An answer that contains nothing of relevance to the question must be awarded no marks.

**SECTION A**

The list below indicates the correct answers for use in marking candidates' responses.

**KEY LIST**

| Q  |          | Q  |          |
|----|----------|----|----------|
| 1  | <b>C</b> | 16 | <b>B</b> |
| 2  | <b>D</b> | 17 | <b>B</b> |
| 3  | <b>C</b> | 18 | <b>C</b> |
| 4  | <b>B</b> | 19 | <b>B</b> |
| 5  | <b>A</b> | 20 | <b>B</b> |
| 6  | <b>C</b> | 21 | <b>B</b> |
| 7  | <b>B</b> | 22 | <b>B</b> |
| 8  | <b>B</b> | 23 | <b>B</b> |
| 9  | <b>A</b> | 24 | <b>C</b> |
| 10 | <b>B</b> | 25 | <b>B</b> |
| 11 | <b>B</b> | 26 | <b>B</b> |
| 12 | <b>C</b> | 27 | <b>B</b> |
| 13 | <b>B</b> | 28 | <b>A</b> |
| 14 | <b>C</b> | 29 | <b>A</b> |
| 15 | <b>D</b> | 30 | <b>B</b> |

**TOTAL**

|          |           |
|----------|-----------|
| <b>A</b> | 4         |
| <b>B</b> | 17        |
| <b>C</b> | 7         |
| <b>D</b> | 2         |
|          | <b>30</b> |

**Note to paper setter:** the answer distribution for Section A of this predicted paper is B-heavy compared with the ~balanced distribution of authentic AQA papers (e.g. June 2017: A 8, B 5, C 8, D 9). When finalising the paper, option letters should be rotated so that the correct-answer distribution is approximately 7–8 per letter.

## Section A — brief worked explanations

### 1. Answer: C

A rise in consumer income shifts the demand curve for a normal good right ( $YED > 0$ ). A and B shift it left; D is a movement along the curve.

### 2. Answer: D

$|PED|$  between 0 and 1 is relatively inelastic.  $|-0.4| = 0.4 < 1$ .

### 3. Answer: C

Depreciation makes exports cheaper and imports dearer (SPICED); trade balance improves over time if  $PED_x + PED_m > 1$  (Marshall–Lerner).

### 4. Answer: B

Quantitative easing (QE) is asset purchases by the central bank — typically long-dated gilts — to raise the money supply. A, C, D are contractionary.

### 5. Answer: A

Price discrimination requires different prices to different consumers for the same good with no corresponding cost difference.

### 6. Answer: C

Inside the PPF = productive inefficiency: unemployed/underused resources. On the PPF = productive efficiency.

### 7. Answer: B

Government failure: intervention produces a misallocation greater than the original market failure.

### 8. Answer: B

Tariff raises the domestic price of imports and reduces import volumes; also raises revenue and creates deadweight loss.

### 9. Answer: A

Skills mismatches → structural unemployment → higher NRU. B and C affect cyclical unemployment.

### 10. Answer: B

A higher National Living Wage compresses the wage distribution. A, C and D tend to widen inequality.

### 11. Answer: B

From 1000 → 2000 units output doubles ( $\times 2.0$ ) while inputs rise by  $\times 1.75$  each — output increases more than proportionately = increasing returns to scale. (The other intervals show factor inputs scaling unevenly, so no valid returns-to-scale test can be made.)

### 12. Answer: C

Profit = TR – TC. Maximum profit of £60 occurs at 30 units (equal at 40; by convention, the lower output is chosen). MR = MC between 30 and 40.

### 13. Answer: B

$(104 - 100) / 100 \times 100 = +4\%$ .

### 14. Answer: C

Invention = discovering something entirely new; innovation = turning the invention into a marketable product.

### 15. Answer: D

Country Z: negative growth, near-zero inflation, highest unemployment → deflationary output gap with significant spare capacity.

### 16. Answer: B

Socially optimal output: MSB = MSC. At 200 tonnes, both equal £70.

**17. Answer: B**

Good A:  $YED + 2.1 > 1 \rightarrow$  luxury;  $XED + 0.8 > 0 \rightarrow$  substitute for B;  $|PED| = 0.3 < 1 \rightarrow$  price-inelastic. So 'price-inelastic luxury and a substitute for B'. (Option A mis-labels the PED as elastic — a common trap.)

**18. Answer: C**

Profit-maximising output:  $MR = MC$ .  $MR > MC$  at 30 units,  $MR < MC$  at 40 units  $\rightarrow MR = MC$  lies between 30 and 40.

**19. Answer: B**

Top 20% share falls 48%  $\rightarrow$  37%; bottom 20% rises 2%  $\rightarrow$  8%. Lorenz curve moves closer to 45° line  $\rightarrow$  Gini falls.

**20. Answer: B**

Monopoly profit max:  $MC = MR$ . Price read off AR (demand).

**21. Answer: B**

Inelastic demand  $\rightarrow$  consumers less responsive  $\rightarrow$  most of the tax passed on as higher price  $\rightarrow$  consumers bear the main burden.

**22. Answer: B**

On the flat segment of SRAS, an AD rise raises real output substantially with only a small rise in the price level.

**23. Answer: B**

Kinked demand curve  $\rightarrow$  price rigidity at the kink; MC can shift within the vertical MR gap without changing P.

**24. Answer: C**

Short-run Phillips curve: inverse relationship between inflation and unemployment  $\rightarrow$  inflation rises as unemployment falls.

**25. Answer: B**

Monopolistic competition in the long run: AR tangent to AC at the profit-max output  $\rightarrow P = AC \rightarrow$  only normal profit.

**26. Answer: B**

In the very short run,  $PED_x + PED_m < 1$ . Volumes adjust slowly  $\rightarrow$  higher domestic-currency cost of imports outweighs rise in export revenue  $\rightarrow$  short-run deficit deepens.

**27. Answer: B**

Specific tax = fixed £/unit  $\rightarrow$  parallel upward shift of S. Ad valorem tax = fixed % of price  $\rightarrow$  S pivots; absolute gap widens at higher prices.

**28. Answer: A**

Country Y's Lorenz curve is closer to the 45° line  $\rightarrow$  smaller area A  $\rightarrow$  lower Gini.

**29. Answer: A**

Along the elastic segment ( $|PED| > 1$ ), quantity changes proportionally more than price  $\rightarrow$  a price rise reduces TR.

**30. Answer: B**

With a negative production externality, the DWL triangle lies between MSC and MPB across the outputs from  $Q_s$  to  $Q_p$ .

## SECTION B

### INVESTIGATION — Total for this Investigation: 50 marks

#### Level-of-response marking: how to apply the table

Level-of-response mark schemes describe the average quality expected at each level. Begin at the lowest level and work upwards, using each descriptor as a ladder to locate the best-fitting level for the response being marked.

Once a level has been chosen, the exact mark within that level should reflect the overall quality of the answer — higher within the band when the response partly reaches the next level, lower when it only just meets the current one.

The indicative content below is illustrative. Candidates do not have to cover all listed points to reach the highest level. Unlisted but valid responses should be credited in line with the spirit of the level descriptors.

### 3 1

To what extent, if at all, do the data in Extract A and the analysis in Extract B suggest that weak productivity growth is the most important constraint on UK living standards? [10 marks]

| Level | Response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Max        |
|-------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| 3     | <ul style="list-style-type: none"> <li>Well-organised response that addresses at least three relevant, developed issues.</li> <li>Effective, specific use of the numerical data in Extract A and the analysis in Extract B.</li> <li>Demonstrates appreciation of the limitations of the data (e.g. aggregation, inequality behind the mean, short-run shocks).</li> <li>Includes a supported overall judgement on whether weak productivity is the MOST important constraint on UK living standards.</li> </ul> | 8–10 marks |
| 2     | <ul style="list-style-type: none"> <li>Reasonably organised response covering at least two relevant, fairly developed issues.</li> <li>Some satisfactory use of data from Extract A and/or Extract B.</li> <li>May show limited appreciation of the limitations of the data.</li> <li>At the top of the band, is likely to include a final judgement (which may not be fully supported).</li> </ul>                                                                                                              | 4–7 marks  |
| 1     | <ul style="list-style-type: none"> <li>Very brief or poorly organised response, or one or more superficial points.</li> <li>Very limited or inaccurate use of the data.</li> <li>No appreciation of limitations.</li> <li>Judgement, if offered, is unsupported.</li> </ul>                                                                                                                                                                                                                                      | 1–3 marks  |

#### Indicative content

- Define productivity (output per hour/worker) and living standards (commonly measured by real GDP per head; broader: real median wages, life expectancy, inequality).
- Extract A figures: output per hour rose only from 95.2 to 101.6 (2010–2024) — about 0.5% per year. Real GDP per head rose from £28,900 to £32,050 (+10.9%). Real median wages essentially stagnated (£14.80 → £14.95).
- Chain of reasoning: weak productivity growth → weak LRAS growth → slow real-wage growth → constraint on household living standards.
- Diagrammatic support (optional but creditworthy): AD/LRAS with slow LRAS shift; PPF with limited outward movement.

- Alternative constraints discussion: rising Gini (0.34 → 0.37) means gains have been unevenly distributed — households at the median may have seen little improvement; regional divergence (Extract B); cost-of-living shocks (£14.70 real median wage in 2022); under-investment as the underlying cause of weak productivity — productivity may itself be a symptom.
- Limitations of the data: indices may mask distribution; real-wage figures do not capture non-wage benefits; short series may not support long-run claims.
- A secure Level 3 response is likely to conclude that weak productivity is an important structural constraint, but that inequality in the distribution of productivity gains, short-run shocks, and underlying under-investment also constrain living standards for many households. Candidates should not be penalised for a different well-supported conclusion.

**MAXIMUM FOR QUESTION 31: 10 MARKS****3 2**

Using Extract C and your own knowledge, explain why microeconomic and macroeconomic policies may both be needed to address regional inequality in the UK. You should use an appropriate diagram in your answer. [15 marks]

| Level    | Response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Max                |
|----------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------|
| <b>3</b> | <ul style="list-style-type: none"> <li>• Well-organised response developing a selection of key issues that are directly relevant to the question.</li> <li>• Sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors.</li> <li>• Good application of economic principles to the UK regional-inequality context and, where appropriate, good use of data from Extract C.</li> <li>• Well-focused analysis with clear, logical chains of reasoning. Uses an appropriate, correctly-labelled diagram.</li> </ul> | <b>11–15 marks</b> |
| <b>2</b> | <ul style="list-style-type: none"> <li>• Response focuses on issues relevant to the question.</li> <li>• Satisfactory knowledge and understanding, though with some weaknesses.</li> <li>• Reasonable application of economic principles and some use of Extract C.</li> <li>• Some reasonable analysis which may not be fully developed or may become confused in places.</li> </ul>                                                                                                                                                                             | <b>6–10 marks</b>  |
| <b>1</b> | <ul style="list-style-type: none"> <li>• One or more relevant issues identified but only superficially.</li> <li>• Limited knowledge and understanding; errors are likely.</li> <li>• Very limited application of principles and/or data.</li> <li>• Any analysis lacks focus or becomes confused.</li> </ul>                                                                                                                                                                                                                                                     | <b>1–5 marks</b>   |

*Note: AO4 (evaluation) is not being assessed through this question.*

*A response without a correctly-labelled diagram should not normally access the top of Level 3.*

**Indicative content**

- Define regional inequality: persistent differences in output, income, employment and living standards across geographic regions.
- Macroeconomic policy levers: fiscal policy (targeted capital spending on transport, energy and housing in lagging regions shifts AD right — large multiplier when spare capacity exists); limited regional differentiation of monetary policy (Bank Rate applies nationally); exchange-rate effects (sterling strength disproportionately affects manufacturing exporters concentrated outside London).

- Microeconomic policy levers: education and skills (raising human capital in lagging regions); physical and digital infrastructure (agglomeration, network economies); housing and planning reform (enabling labour mobility); enterprise zones; devolved city-region mayoralities with local accountability; competition and business-rates reform.
- Why both are needed: macro policy can raise average employment and output but without micro supply-side reform, AD expansion may hit regional skills bottlenecks, inflationary pressures, and uneven pass-through. Conversely, micro reforms raise the POTENTIAL productivity of lagging regions but are slow-acting and may be blunted if aggregate demand is weak or unevenly distributed.
- Expected diagram: AD/AS diagram showing AD rising along the flat segment of SRAS combined with a rightward LRAS shift (both demand-side AND supply-side action) → real output rises without significant inflation. Alternative: a labour-market diagram showing the regional shift in  $L_s$  from skills policy.
- Evaluation notes that can access Level 3: size and regional variation of fiscal multipliers; risk of crowding out if the lagging region is already at full employment (contrast with Extract C's persistent unemployment in North East); opportunity cost of regional spending; time-lag asymmetry (macro fast-acting, micro slow); risk of government failure and deadweight spending (Extract C).

**MAXIMUM FOR QUESTION 32: 15 MARKS****3 3**

Taking into account Extract D, and the original evidence presented in Extracts A, B and C, would you recommend that the UK government should prioritise large-scale public investment in green infrastructure as the central pillar of its growth strategy? Justify your recommendation. [25 marks]

| Level    | Response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Max                |
|----------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------|
| <b>5</b> | <ul style="list-style-type: none"> <li>• Sound, focused analysis and well-supported evaluation throughout and in the final conclusion.</li> <li>• Well-organised, with sound knowledge and understanding of terminology, concepts and principles, few if any errors.</li> <li>• Good application of economic principles and good use of extract evidence.</li> <li>• Clear, logical chains of reasoning; diagrams integrated where helpful.</li> <li>• A clear, reasoned final recommendation directly answering the question.</li> </ul> | <b>21–25 marks</b> |
| <b>4</b> | <ul style="list-style-type: none"> <li>• Sound, focused analysis and some well-supported evaluation.</li> <li>• Well-organised with sound knowledge and understanding; errors are rare.</li> <li>• Good application of principles and some good use of the extracts.</li> <li>• Some well-focused analysis with logical chains of reasoning.</li> <li>• Reasonable, supported evaluation but perhaps not consistently throughout.</li> </ul>                                                                                              | <b>16–20 marks</b> |
| <b>3</b> | <ul style="list-style-type: none"> <li>• Some reasonable analysis but generally unsupported evaluation.</li> <li>• Focuses on relevant issues with satisfactory knowledge and understanding (some weaknesses likely).</li> <li>• Reasonable application and some use of extract data.</li> <li>• Analysis may not be fully developed or may become confused.</li> <li>• Evaluation is fairly superficial; judgements are not well supported by arguments or data.</li> </ul>                                                              | <b>11–15 marks</b> |



| Level | Response                                                                                                                                                                                                                                                                                                                                                    | Max        |
|-------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| 2     | <ul style="list-style-type: none"> <li>• A fairly weak response showing some understanding.</li> <li>• Limited knowledge and understanding; some errors.</li> <li>• Limited application of principles and/or data.</li> <li>• Limited analysis; may lack focus or become confused.</li> <li>• Evaluation, if attempted, is weak and unsupported.</li> </ul> | 6–10 marks |
| 1     | <ul style="list-style-type: none"> <li>• Very weak response.</li> <li>• Little relevant knowledge and understanding.</li> <li>• Analysis is, at best, very weak.</li> <li>• Any evaluation attempted is weak and unsupported.</li> </ul>                                                                                                                    | 1–5 marks  |

A response that does not include any evaluation or a supported recommendation should not be awarded more than 13 marks.

### Indicative content: relevant issues and areas for discussion

- Use of extract data: scale of proposed green investment (£30–50bn/year in Extract D), headline returns claimed (1.5–2.0 pp of annual real GDP growth; ~400,000 jobs), alongside weak productivity (Extract A/B) and persistent regional inequality (Extract C).
- Case for making green infrastructure the CENTRAL pillar: simultaneous demand-side stimulus (AD shifts right; large multiplier where spare capacity exists, consistent with Extract A's flat productivity); supply-side boost (LRAS shifts right via higher-quality capital stock, lower long-run energy costs, technology spillovers); regional incidence of green investment largely outside London addresses Extract C; intertemporal case (legally binding net-zero 2050 target; compounding climate costs).
- Crowding-out concerns: if debt-financed at elevated interest rates, higher gilt yields may raise the cost of private investment. Offsetting factors: high productivity-adjusted returns; partial finance from carbon-pricing revenue; BoE asset purchases; imperfect capital market competition.
- Delivery risk: skills shortages (Extract B) may divert spending into wage inflation rather than real output; requires parallel investment in technical education and apprenticeships.
- Distributional effects: retrofit costs may fall on low-income households; need for targeted subsidies; otherwise the programme risks widening the Gini coefficient already rising in Extract A.
- Opportunity cost: the same fiscal resource could fund R&D, education, housing, or tax cuts; critics in Extract D argue some of these have stronger productivity track records.
- Government failure risks: picking winners, regulatory capture, political short-termism.
- Short-run vs long-run effects of both supporting and not supporting green infrastructure: short-run multiplier effects vs long-run productivity, environmental and strategic benefits.
- Complementary policies: carbon pricing, regulatory standards, loan guarantees, subsidies conditional on regional locations.
- Evaluative judgement (required for Level 5): the question asks for a REASONED RECOMMENDATION, not a neutral survey. Candidates should commit. Likely Level-5 judgements include: conditional YES — prioritise green infrastructure IF accompanied by parallel skills reform and distributional protections; NO — green investment should be ONE pillar among several because the return profile is uncertain and opportunity costs are high; YES — because the intertemporal case trumps short-run uncertainties. All should be defended with specific extract evidence and clear economic reasoning.
- Appropriate diagrams: AD/AS with simultaneous AD and LRAS shifts; loanable-funds market with potential crowding-out; welfare-loss diagram showing internalisation of a negative externality through subsidy/tax.

**MAXIMUM FOR QUESTION 33: 25 MARKS**

**Total for this Investigation: 50 marks**

**End of Mark scheme**